

SHERLOCK, et al v McRAY, et al

25CV48246

DEFENDANTS' DEMURRER AND MOTION TO STRIKE

This matter arises out of a dispute over the lease of residential real property brought by Joseph and Scarlett Sherlock ("Plaintiffs") against Scott and Mae McRay (collectively "Defendants.")

Now before the Court are a demurrer and motion to strike portions of the First Amended Complaint ("FAC") filed by Defendants. The motions are opposed.

I. FACTS AND PROCEDURAL HISTORY

On April 1, 2025, Plaintiffs signed a lease ("Lease") for real property located at 2295 Marti Drive, Arnold, California 95223 ("Property") (FAC ¶¶ 1, 14.) At the time of entering into the Lease, Scarlett Sherlock was "very pregnant" which was known to Defendants. (*Id.* ¶ 13.) On April 10, 2025, Plaintiffs gave Defendants an extensive list of issues with the Property, expecting Defendants would remedy the problems. (*Id.* ¶ 14.) Defendants responded by admitting they knew the property was in a state of disrepair at the time of lease, stating in an email dated April 11, 2025, "Wow, thank you for the detailed walk-thru. Some of the items we knew about and the others are new to us." (*Id.* ¶ 15.)

Upon moving into the Property, Plaintiffs discovered that many problems remained. After moving in, Plaintiffs discovered new problems, including: (1) severe bat infestation, (2) improperly maintained stairs, (3) improper weather protection, (4) electrical issues, (5) malfunctioning exterior door locks, (6) malfunctioning kitchen appliances, (7) water intrusion, (8) HVAC issues, (9) plumbing issues, (10) malfunctioning heating, (11) sagging floors, and (12) improper trash facilities ("Defective Conditions.") (FAC ¶ 16.) Plaintiffs repeatedly notified Defendants of these problems. (*Ibid.*)

In Plaintiffs' mind, one of the worst problems, particularly due to Scarlett's pregnancy, was the bat infestation. On June 1, 2025, after discovering bat guano, Plaintiffs learned that the Property was infested with bats. (FAC ¶ 30.) Prior tenants confirmed that the bats had been a problem for them, and the Defendants admitted that bats had been a problem for 8 to 9 years. (*Ibid.*) Because there were known bats in the house, and bat bites can often be invisible to the eye, Plaintiffs were required to undergo Rabies Post-exposure prophylaxis ("PEP.") (*Ibid.*) Because Scarlett was 41 weeks pregnant, she was considered at "high risk" to receive the PEP treatment. (*Ibid.*) The PEP treatment required injections in every limb of Plaintiffs' bodies. (*Ibid.*)

On June 2, 2025, in response to an email about the bat infestation, Defendants advised Plaintiffs to buy an ultrasonic plug for bat deterrence because this had been used by the previous tenants. (FAC ¶ 31.) Defendants further advised Plaintiffs that eight to nine years ago, Defendants had someone look at the bat issue but could not recall if they had any remediation performed. (*Ibid.*) Although Defendants knew of the bat infestation, they did not disclose that infestation to Plaintiffs prior to the Lease. (*Ibid.*)

On June 17, 2025, Plaintiffs had the property inspected by Western Bat Specialists. Western Bat Specialists found that bats gained access into multiple areas of the dwelling. Bat feces, urine, and body rub marks were present in multiple dwelling locations. (FAC ¶ 32.) Plaintiffs eventually had to get rid of many personal belongings because of the exposure to the bats and potential rabies.

Plaintiffs bring causes of action for 1) negligence, 2) breach of warranty of habitability, 3) private nuisance, 4) breach of covenant of quiet enjoyment in a contract, 5) breach of covenant of quiet enjoyment as a tort, 6) negligent misrepresentation, and 7) constructive eviction.

Defendants demur to the causes of action for breach of covenant of quiet enjoyment as a tort, negligent misrepresentation, and constructive eviction.

Defendants also move to strike the allegations related to punitive damages and attorney's fees.

II. LEGAL STANDARD FOR DEMURRER

"A demurrer tests the sufficiency of a complaint and admits all facts properly pleaded." (*Setliff v. E.I. Du Pont de Nemours & Co.* (1995) 32 Cal. App. 4th 1525, 1533.) The court assumes the truth of the allegations asserted but does not assume the truth of "contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal. App. 4th 242, 247.) The court can further look at those facts that "reasonably can be inferred from those expressly pleaded, and matters of which judicial notice has been taken." (*MKB Management, Inc. v. Melikian*, (2010), 184 Cal.App.4th 796, 802.) If a complaint does not sufficiently state a cause of action, "but there is a reasonable probability that a defect can be cured by amendment, leave to amend must be granted." (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal. 4th 26, 38.)

"A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed." (*SKF Farms v. Superior Court* (1984) 153 Cal.App.3d 902, 905.) "The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action." (Hahn, *supra*, at p. 747.)

Defendants assert that Plaintiffs' FAC is subject to demurrer pursuant to Civ. Code 430.10 (e) (failure to state a claim) and (f) (uncertainty.)

III. Analysis

A. Breach of Covenant of Quiet Enjoyment

Under Civil Code section 1927, “there is an implied covenant on the part of a landlord that a tenant shall have quiet enjoyment and possession of the premises during the continuation of the term.” (*Lee v. Placer Title Co.* (1994) 28 Cal.App.4th 503, 512.) This covenant, “implies a term in a contract, and a breach of the covenant gives rise to an action in contract.” (*Ginsberg v. Gamson* (2012) 205 Cal. App.4th 873, 896-897.) Thus, generally, damages arising from such breach are contract damages. (*Ibid.*) However, “some courts have implicitly or explicitly indicated a tenant may recover punitive damages in connection with a claim for breach of the implied covenant of quiet enjoyment, or identified the claim, as a tort.” (*Id.* at 898.) Such tort claims are only recognized where there is also a claim for actual or constructive eviction. (*Ibid.*) Thus, a plaintiff may seek damages beyond the terms of the contract (such as lost profits) in some cases, where the landlord deprives the tenant of the “beneficial enjoyment of the premises [which] amounts to a constructive eviction.” (*Andrews v. Mobile Aire Estates* (2005) 125 Cal.App.5th 578, 590.)

Here, Plaintiffs alleges that the Defective Conditions went beyond mere annoyances and led to constructive eviction and emotional and physical injury and damages. These are allegations outside the contract terms. Defendants cite no case law for their assertion that Plaintiffs cannot bring both a constructive eviction claim and a breach of the covenant of quiet enjoyment as a tort claim.

Accordingly, **the demurrer as to the breach of implied covenant of quiet enjoyment as a tort is OVERRULED.**

B. Negligent or Fraudulent Misrepresentation

Defendants demur to the sixth and seventh causes of action for negligent and fraudulent misrepresentation on the grounds that these causes of action are not pled with the requisite specificity.

“The elements of a cause of action for negligent misrepresentation are: 1) the defendant must have made a representation as to a past or existing material fact; 2) the representation was untrue; 3) the defendant must have made the representation without any reasonable ground for believing it to be true; 4) the representation must have been made with the intent to induce plaintiff to rely upon it; 5) the plaintiff must have been unaware of the falsity of the representation and justifiably acted in reliance on it; and 6) as a result of the reliance, plaintiff sustained damages. (*Friedman v. Merck & Co.* (2003) 107 Cal.App.4th 454, 476.)

Intentional misrepresentation is similar; however, in that case the defendant must have made the statement knowing it to be false or without regard for the truth or falsity of the

statement. (*Lauckhart v. El Macero Homeowners Assn.* (2023) 92 Cal.App.5th 889, 903.) For both types of misrepresentation, the allegations “must be pleaded with particularity, with facts showing how, when, where, to whom, and by what means the representations were tendered.” (*SI 59 LLC v. Variel Warner Ventures, LLC* (2018) 29 Cal.App.5th 146, 155 [citations omitted].)

Both the negligent and intentional misrepresentation claims are based on alleged omissions rather than specific misrepresentations. Plaintiffs allege that Defendants concealed material information from them to make Plaintiffs believe that the Property was safe and habitable. While claims for fraudulent or intentional misrepresentation can be based on concealment or omission, negligent misrepresentation cannot. (*Vega v. Jones, Day, Reavis & Pogue* (2004) 121 Cal.App.4th 282, 290 [“a negligent misrepresentation claim cannot be based on an omission or nondisclosure”].)

Accordingly, the demurrer as to the negligent misrepresentation claim is SUSTAINED, with fifteen (15) days leave to amend.

To establish a claim for fraudulent concealment, a plaintiff must plead and prove the following elements: (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) intent to defraud by intentionally concealing or suppressing the fact; (4) the plaintiff’s lack of knowledge of the concealed or suppressed fact and resulting reliance; and (5) damages sustained as a direct result of the concealment or suppression. (*Hambridge v. Healthcare Partners Medical Group, Inc.* (2015) 238 Cal.App.4th 124, 162, quoting *Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 606.)

A cause of action for fraud based on nondisclosure or concealment must also establish that the defendant had a legal duty to disclose the withheld facts. (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 845.) Absent a fiduciary relationship between the parties, courts recognize three circumstances where nondisclosure or concealment may constitute actionable fraud: (1) where the defendant possesses exclusive knowledge of material facts unknown to the plaintiff; (2) where the defendant actively conceals a material fact from the plaintiff; and (3) where the defendant makes partial representations while suppressing other material facts. (*Bigler-Engler v. Berg, Inc.* (2017) 7 Cal.App.5th 276, 311, quoting *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.)

Here Plaintiffs allege that Defendants concealed the known Defective Conditions – particularly the bats -- from Plaintiffs. They allege that Defendants knew that the Property had a bat problem for the prior 8 or 9 years (FAC ¶ 30) and knew that the prior tenants had to take precautions and tactics to keep the bats at bay. (*Id.* ¶ 31.) They allege that Defendants were well aware of the numerous Defective Conditions but actively concealed those same hazards from Plaintiffs to get Plaintiffs to rent the Property. (*Id.* ¶¶ 36, 87-89.) Plaintiffs allege that in failing to inform them of the Defective Conditions, Defendants intended to deceive or mislead them. (*Id.* ¶ 88.) Plaintiffs allege they lacked any knowledge of the Defective Conditions and relied on the representations made in Defendants’ partial disclosures about the Property’s condition in deciding to rent the Property. (*Id.* ¶¶ 87-88.) Finally, Plaintiffs allege they suffered damages as a result of the concealment.

It is true that this claim is not pled with specificity, including the date, time and place of the concealment. However, “less specificity is required where the defendant necessarily possesses the information.” (*Bajaras v. Ford Motor Co.* 2025 Cal.Super.LEXIS 1185, *3-4, citing *Committee on Children’s Television, Inc. v. General Foods, Inc.* (1983) 35 Cal.3d 197, 216-217.) Further, “it is not practical to require allegations of specific facts showing how, when, and by what means something did not happen.” (*Id.*) The Court finds Plaintiffs adequately plead the elements of intentional misrepresentation based on omission or fraudulent concealment with enough particularity at this stage.

At the demurrer stage, the Court takes the allegations in the FAC as true. The Plaintiff has sufficiently pled allegations of intentional misrepresentation. Accordingly, **the demurrer is OVERRULED as to this cause of action.**

IV. Motion to Strike

Filed concurrently with their demurrer, Defendants also move to strike portions of Plaintiffs’ FAC related to punitive damages and attorney’s fees.

A motion to strike lies either to strike: (1) any “irrelevant, false or improper matter inserted in any pleading”; or (2) any pleading or part thereof “not drawn or filed in conformity with the laws of this state, a court rule or order of court.” (CCP § 436.) A motion to strike may also be used to strike allegations related to an improper request for relief. (*Saberi v. Bakhtiari* (1985) 169 Cal.App.3d 509, 517.) A motion to strike can be used to attack the entire pleading, or any part thereof—i.e., even single words or phrases. (*Warren v. Atchison, Topeka & Santa Fe Ry. Co.* (1971) 19 Cal.App.3d 24, 40.)

Punitive damages are recoverable where a plaintiff proves “by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice.” (Civ. Code, § 3294.) Relevant to this case, “malice” means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of rights or safety of others. (*Ibid.*)

Plaintiffs have alleged that Defendants knew about the bats and other hazards but concealed those Defective Conditions from Plaintiffs. As a result of the potential bat exposures, Plaintiffs were required to undergo significant medical treatment during the late stages of pregnancy which caused extreme emotional distress. While this might arguably be evidence of a disregard for their safety – there is no allegation that the Defendants knew or had reason to know that the bat infestation itself could lead to these medical treatments.

Accordingly, the **motion to strike references to punitive damages is GRANTED, with fifteen (15) days leave to amend.**

Defendants also move to strike references to attorney’s fees on the grounds that Plaintiffs did not identify any contract provision which would allow such fees. However, “unsupported attorney’s fee allegations need not be stricken pursuant to a motion to strike, since later discovery may reveal a basis for their recovery.” (*Barnes v. Fred*

Leeds Inv. Props. LP, 2025 Cal.Super.LEXIS 72698, *8-9 [citing *Camenisch v. Superior Court* (1996) 44 Cal.App.4th 1689, 1699].)

Accordingly, at this stage, **the motion to strike attorney's fees is DENIED, without prejudice to refile.**

IV. Conclusion Summary

Defendants' demurrer is overruled as to the causes of action for breach of covenant of quiet enjoyment and intentional misrepresentation. The demurrer is sustained, with leave to amend, as to the cause of action for negligent misrepresentation. The motion to strike references to punitive damages is granted, with leave to amend. The motion to strike references to attorney's fees is denied.

The clerk shall provide notice of this ruling to the parties forthwith. Defendants to submit formal Orders complying with Rule 3.1312 in conformity with this Ruling.

MALOON v MALOON

25CV48407

DEFENDANT'S MOTION TO STRIKE SUMMONS AND COMPLAINT

This matter involves allegations of fraud in relation to the contents of a trust. Now before the Court is Defendant's motion to strike summons and change jurisdiction.

The motion does not comply with Local Rule 3.3.7. All matters noticed for the Law & Motion calendar shall include the following language in the notice:

3 3 7 Tentative Rulings (Repealed Eff 7/1/06, As amended 1/1/18) All parties appearing on the Law and Motion calendar shall utilize the tentative ruling system. Tentative Rulings are available by 2:00 p.m. on the court day preceding the scheduled hearing and can be accessed either through the court's website or by telephoning 209-754-6285. The tentative ruling shall become the ruling of the court, unless a party desiring to be heard so advises the Court no later than 4:00 p.m. on the court day preceding the hearing including advising that all other sides have been notified of the intention to appear by calling 209-754-6285. Where appearance has been requested or invited by the Court, all argument and evidence is limited pursuant to Local Rule 3 3. All matters noticed for the Law & Motion calendar shall include the following language in the notice:

Pursuant to Local Rule 3 3 7, the Court will make a tentative ruling on the merits of this matter by 2:00 p.m. the court day before the hearing. The complete text of the tentative ruling may be accessed on the Court's website or by calling 209-754-6285 and listening to the recorded tentative ruling. If you do not call all other parties and the Court by 4:00 p.m. the court day preceding the hearing, no hearing will be held and the tentative ruling shall become the ruling of the court [emphasis in original.]

Failure to include this language in the notice may be a basis for the Court to